The Basics: (kind of collection)

- Expense Planning
- Understand and manage your monthly expenditures effectively.
- Asset Allocation
- Learn the art of diversifying investments to maximize returns.
- Emergency Fund
- Importance and practical steps to create a robust emergency reserve.
- Inflation
- Explaining the erosion of the value of money and how to safeguard against it.
- Savings
- Techniques and habits to enhance your saving skills.

Advanced Topics (Independent)

- Taxation and Liability Planning
- Investment Strategies
- Insurance and Risk Management
- Retirement Planning

Detailed:

- Introduction to Personal Finance
    - Understanding Personal Finance: Basics of budgeting, spending habits, and financial decision-making.
    - Setting Financial Goals: Short-term vs long-term goals, and the importance of clarity.
    - Fundamentals of Budgeting: Creating a realistic budget, tracking expenses, and any tools that can help (maybe collaborate with them)

- Savings Strategies
    - The Power of Compounding: Introduction, examples
    - Building an Emergency Fund: Size of the fund, where to keep it, and strategies to build it.

- Investment Basics for Beginners
    - Types of Investments: Overview of stocks, bonds, mutual funds, ETFs, and real estate.
    - Financial Risk: Understanding types of risk, diversification

- Retirement Planning in Your 20s
    - Importance of Early Retirement Planning: Benefits of starting early, impact on savings.
    - Retirement Savings Accounts: Understanding them, how to choose the right one, NPS, PPF, Etc
    - Investment Strategies for Retirement

- Debt Management and Credit Scores
    - Understanding Credit Scores: What they are, how they are calculated, and why they matter.
    - Managing Credit Card Debt: Strategies for paying off debt, choosing the right credit card, the impact of credit on personal finance.
    - Student Loans Management

- Real Estate and Mortgage Basics
    - Buying vs. Renting: Financial considerations, pros and cons.
    - Basics of Mortgages: Types of mortgages, how to qualify, importance of credit scores.
    - Investing in Real Estate: Basics for first-time investors, different ways to invest in real estate.

- Insurance Essentials (Another collab point)
    - Types of Insurance: Health, life, auto, and property insurance and their importance.
    - Choosing the Right Insurance: Factors to consider, comparing policies, understanding premiums and coverage.
    - Health Insurance Basics: Importance, understanding plans, how to choose the right plan.

- Advanced Investing: Cryptocurrency and Alternative Investments
    - Introduction to Cryptocurrency**: What it is, how it works, risks and rewards.
    - Other Alternative Investments: Commodities, etc …..

- Navigating Financial Challenges for Young Adults
    - Avoiding Common Financial Mistakes: Common pitfalls in personal finance and how to avoid them.
    - Financial Independence, Retire Early (FIRE)
    - Mindful Spending: How to make conscious spending decisions to improve financial health and life quality.

Knowing your purpose:

- Budgeting
- Purpose - debatable
- Goals
    - Personality - income and expenses, link with above
    - Types of Insurance: Health, life, auto, and property insurance and their importance.
    - Choosing the Right Insurance: Factors to consider, comparing policies, understanding premiums and coverage.
    - Health Insurance Basics: Importance, understanding plans, how to choose the right plan.

- Debt Management and Credit Scores
    - Understanding Credit Scores: What they are, how they are calculated, and why they matter.
    - Managing Credit Card Debt: Strategies for paying off debt, choosing the right credit card, the impact of credit on personal finance.
    - Student Loans Management
    - RRR

- How to time Market?

- How to identify the winning fund?

- Stocks vs mutual funds vs PMS vs AIFs vs ULIPs?

- Navigating Financial Challenges for Young Adults
    - Avoiding Common Financial Mistakes: Common pitfalls in personal finance and how to avoid them.
    - Financial Independence, Retire Early (FIRE)
    - Mindful Spending: How to make conscious spending decisions to improve financial health and life quality.

How are we going Right now

Product Part 1:

In our Finesse way of looking at things, "Product" – where your money actually goes – comes last. And there's a good reason for that! Think of it like building a house. You wouldn't start picking out

furniture before you have a solid foundation and walls, right? Similarly, before we dive into *where* to put your money, we need to understand the first four "Ps." But to really get a feel for those first four, we need to chat a bit about the basics of "Product" first. So, we'll break this down into two parts, and we're starting with the first part right now/away.

Now, here's a term you'll hear a lot in the world of finance: "Asset Class." Think of it simply as the *type* of thing your money eventually ends up in. There are generally four big buckets:
The four main asset classes are:

- **Stocks** (equity)
- **Bonds** (debt)
- **Commodities** (like gold)
- **Real Estate**

For the purpose of this section, we will however focus on two asset classes – stocks and bonds. Why? Because understanding the characteristics of these two is super important, especially if you're just starting out or thinking about investing. As jumping into investment decision without knowing this can lead to costly mistakes.

Understanding Stocks and Bonds
So, what are these "stocks" and "bonds" we're talking about?

Stocks (also called equity or shares) make you a part-owner of a business, while bonds ("debt" or "loans"), makes you a lender to the business

Example:
Option 1: You invest in the business—you give money and become a part-owner. If the food truck becomes a hit, you share in the profits. If it doesn't do well, you share in the losses too. That's what owning a **stock** is like. You're in it together, for better or worse.
Option 2: You lend your friend the money instead. They agree to pay you back after a year, with interest—no matter how the business performs. That's what buying a **bond** is like. You're not sharing ownership; you're just the lender expecting your money back with a little extra.

Now, these businesses could be all sorts of listed or unlisted, new-age or traditional, well-managed or struggling, and they can operate in various sectors like manufacturing, services, or finance. You can invest in these directly or through structured options like mutual funds, portfolio management services (PMS), alternative investment funds (AIFs), and more. (We'll explain these as we go.)

So, did this quick overview make sense? If you're already familiar with stocks and bonds, feel free to jump ahead to the first "P" – Purpose. For everyone else, let's keep going!

How Businesses Get Funded

Now flip the lens. Say *you* are running a business. You need funds. What are your options?

1. **Your Own Capital:** Any money you invest in your business is considered equity. You own 100% of the profits (or losses). You put in your savings. You get full control—but you also take full risk.

2. **Raising Capital from Others:** Now, let's say your own savings aren't enough to fuel your business dreams. You might look at getting money from other people. This can happen in a couple of main ways**:**
    - **Equity (Shares):** You give up a portion of ownership in exchange for capital. Investors share in the profits and the business's value fluctuations. This means if your business does really well and its value goes up, their investment also grows, just like yours. But and this is important, if your business struggles and loses value, their investment will also take a hit. They're in it with you, for better or for worse.
    - **Debt (Loans):** You borrow money with a promise to pay interest and return the principal, you're not giving up any ownership. Lenders don't share in profits or losses this means that they don't really feel the pain if your business value dips (as long as you keep making your interest payments). However, the big risk for the lender is if you can't pay the interest or, even worse, if your business goes under and you can't pay back the original loan. In that situation, they could lose all the money (capital) they lent you.

A very important consideration here: if your shareholders wish to sell their shares, they will have to either come to you or find another buyer. They can't just walk into a shop and sell their share! Likewise, if your lender needs his money back (for whatever reason) he too needs to either depend on you or find another lender who can step in his shoes.

This brings us to a term you'll often hear: **Liquidity**
Liquidity simply means: how quickly and easily can you turn something into cash?
Let's say one of your investors wants their money back after two years. If you don't have the cash, they'll have to find someone else to buy their share. But that's not always easy. That's where **liquidity** comes in.

The solution? The Stock Exchange

To make it easier for investors to enter and exit, companies can **list themselves on a stock exchange**. Think of it like a common area where people can easily buy and sell these things. This way, your shareholder or lender can find buyers on the exchange without having to rely solely on you.

Many of the well-known businesses like Infosys, Larsen & Toubro, Reliance, ICICI Bank, are listed and their shareholders can sell, and new investors can buy those shares. Zomato till a few years back was not listed but then it decided to get its shares listed

Now, while listing definitely makes it easier to buy and sell (that "liquidity" we talked about), it's like a double-edged sword for both you, the business owner, and your shareholders. Let's see why...

When a shareholder wants to sell their stake in your unlisted business, you both need to agree on a price for their shares or the overall value of the company. There are different ways to figure this out, but that's a separate topic. For now, the key is that you both need to find common ground on the price.
Now, if your company's shares are listed on an exchange, it becomes much simpler for your shareholder to sell. They can just offer their shares on the exchange, and anyone interested in buying can make an offer. Similarly, if they want to buy more shares, they can buy from other existing shareholders. Sellers will state the price they want, and buyers will state the price they are willing to pay.

Now, even though the *underlying value* of your business might not change drastically day-to-day, because these shares are being traded in a public marketplace, all sorts of buyers and sellers jump in. Some might be super optimistic about your company and willing to pay a high price, while others might be more cautious and offer less. Plus, because this marketplace is open 5 days a week, there's a price set for your company's shares *every single day*. So, the price at which your shares can be bought or sold can change constantly.

Even if your business's core value is stable, the daily buying and selling of its shares on the exchange means the price can fluctuate. Optimistic buyers might pay more, while cautious ones offer less, leading to a constantly changing share price.

The result of all this buying and selling is that the price of your shares can be affected by many things that have nothing to do with how your actual business is doing! This leads to something called "volatility."

What is Volatility?

It's a fancy word, but it simply means how much and how quickly the price of something goes up and down. You'll hear this term a lot as we go further, and understanding it is super important for your investing journey

Think of "volatility" in the world of investments like our mood swings. Usually, our mood is somewhat stable, right? But then sometimes, things happen, and our mood can swing wildly – maybe we get happy, or really upset, or just a bit off. Sometimes these swings are small, and other times they're quite extreme.
It's similar with stock prices. There's usually a "normal" or "fair" price for a company's share – what the business is really worth. But then, all sorts of things can cause the price to swing away from this normal. The bigger and more frequent these swings, the more "volatile" the investment is.

Here's a key difference though: while you can try to manage your mood swings, you have absolutely no control over how stock prices fluctuate! What you *can* control is how you react to those ups and downs. We'll dive into this – how to manage your reactions – in the section on “Personality."

It's really important to understand that stocks, or equity, can be very volatile. While we'll get into the specifics of measuring this later, looking back at the Indian stock market, in any given year, the returns could swing significantly, say from a gain of …….

[Chart]
On the other hand, bonds are much less volatile. Over the same one-year period, their return range might be something like …… You can see a clear difference in how much their values tend to move.

Okay, now let's switch hats again and go back to thinking about you as an investor. When it comes to putting your money into these stocks and bonds, you basically have two main paths you can take:

1. **Do-It-Yourself:** You can learn how to buy and sell stocks and bonds directly in the marketplace. This requires some time and knowledge.

2. **Get Some Help:** You can hire professionals to manage your investments for you. There are several ways to do this:
    - Hire a personal fund manager.
    - Invest in a mutual fund (think of it as pooling your money with others to invest in a basket of stocks and bonds managed by experts).
    - Invest in a Portfolio Management Service (PMS).
    - Invest in an Alternative Investment Fund (AIF).
    - Invest in the National Pension System (NPS).

Think of it like this—you can cook every meal yourself, or you can occasionally eat out or get a cook. Both are valid choices. It’s about what suits you.

PURPOSE

3 sections to this:

- Build up
- Theoretical framework
- Practical – how to quantify purpose

Build Up

The textbook definition of the word purpose is "the reason for which something exists or is done, made, used, etc." and it is a good thing to put down before embarking on any project, program, or journey.

OR

What's the first thing you think about before starting anything important – a new job, a big trip, even building a bookshelf? It's usually the *reason* behind it, right? That's what "purpose" is all about – the "why" behind what we do. And figuring out your "why" is a great first step for any journey, especially when it comes to your money.

So, what's the "why" behind Finesse? Simply put, it's to help you become your own wealth manager. We want to share all the things we've learned over the years, the knowledge and the insights, to get you to a point where you feel confident enough to manage your finances yourself, or you need us for very specific consultations.

Our purpose is not to disrupt anything or anyone. India is simply too vast a country, and there's plenty of room for everyone, including the existing financial advisors. We believe it's nearly impossible for the wealth management industry to truly reach every single person with advice that is genuinely customer-centric advisory offering.

Alright, let's get down to brass tacks. What we really want you to do is figure out *your* reason for investing. Now, we can't promise you any specific returns in the future (that's actually against the rules!). But here's one thing we can guarantee: having a clear purpose for your investments will make your whole investing journey much smoother and more meaningful than just investing aimlessly.